



CORPORATE-LEVEL STRATEGY

SESSION 5

DR. GEOFFREY OTIENO

OUTLINE

- Diversification strategies (related and unrelated)
- Vertical integration decisions
- Portfolio management models (BCG Matrix, GE Matrix)
- Synergy creation and value destruction
- Corporate restructuring strategies
- Case: McDonald's McCafé Initiative

LEARNING OBJECTIVES

- Distinguish related vs. unrelated diversification strategies
- Evaluate vertical integration and make/buy/ally choices
- Apply BCG and GE matrices to portfolio decisions
- Identify real vs. illusory synergies in corporate moves
- Recommend restructuring paths such as spin-offs or divestitures
- Assess managerial motives in value creation or destruction

INTRODUCTION TO CORPORATE-LEVEL STRATEGY

- Defines what businesses to own and how to link them
- Focuses on value creation beyond stand-alone units
- Distinct from business strategy within a single market
- Relies on diversification, integration, portfolio choices, and restructuring
- Corporate advantage exists when the whole is worth more than parts
- Success shown in resilient cash generation and capital allocation

THE ROLE OF THE CORPORATE PARENT

- Provides strategy, capital, leadership, and cross-business linkages
- Enhances performance of units after joining the group
- Prevents value loss from bureaucracy and slow decisions
- Uses parenting skills to create synergies across businesses
- Measured by growth, Return on Investment capital (ROIC), margins, and shareholder returns
- Acts as the steward of long-term corporate advantage

CORPORATE TESTS

- Industry Attractiveness: target markets must support growth and profit
- Cost of Entry: acquisition or build cost must leave room for value creation
- Better-Off Test: ownership must improve performance of unit or parent
- Ownership Test: avoid owning if alliances can deliver same benefits
- Decisions must be backed by quantifiable synergies
- Feasibility of execution is critical for success

DIVERSIFICATION STRATEGIES

RELATED DIVERSIFICATION

- Expands into businesses sharing customers, channels, or technologies
- Creates value through scale economies and learning curve effects
- Supports cross-selling and shared branding opportunities
- Corporate centers replicate successful processes across units
- Shared platforms lower costs and increase customer lock-in
- Risks occur when overlap is weak or integration costs are high

VALUE CREATION IN RELATED DIVERSIFICATION

- Procurement consolidation reduces input costs across units
- Shared facilities and logistics improve asset utilization
- Cross-selling to existing customers increases market share
- Well-known brands ease entry into new but related spaces
- Access to pooled expertise accelerates business improvement
- Successful integration strengthens the core business moat

SCREENING RELATED DIVERSIFICATION

- Identify transferable capabilities that boost margins or growth
- Verify integration feasibility in systems, culture, and regulation
- Target post-deal ROIC above cost of capital plus a buffer
- Set milestones to capture majority of synergies within two years
- Stress test downside risks such as culture clash and IT issues
- Plan exit options if the diversification thesis fails

UNRELATED DIVERSIFICATION

- Expands into businesses with limited operational overlap
- Relies on governance, capital allocation, and turnaround expertise
- Internal capital markets fund high-return projects more efficiently
- Cash flows are smoothed across industries and cycles
- Parenting advantage depends on being the “best owner” of the asset
- Risks include empire building, diluted focus, and center complexity

PARENTING ADVANTAGE IN UNRELATED DIVERSIFICATION

- Disciplined target setting drives accountability in business units
- Leadership systems improve CEO pipeline and execution quality
- Corporate playbooks lift performance in lagging businesses
- Capital discipline enforces hurdle rates and cash flow focus
- Incentives tied to ROIC and shareholder value align managers
- M&A cadence enables timely entries and exits in the portfolio

FAILURE MODES IN DIVERSIFICATION

- Overestimated revenue synergies inflate deal valuations
- Integration costs are often underestimated before acquisition
- Cultural conflicts delay decisions and erode value capture
- Excessive complexity at the centre overwhelms benefits
- Managerial hubris drives poor acquisition decisions
- Weak controls allow value leakage after diversification

CONTROLS FOR SUCCESSFUL DIVERSIFICATION

- Stage-gate processes ensure disciplined decision-making
- Earnouts tie part of purchase price to actual performance
- Conservative baselines reduce risk of inflated projections
- Stop-loss triggers enable timely exit from failing units
- Benefits bridge tracks synergy ownership, timing, and cash flow
- Realistic integration planning reduces risk of value destruction

VERTICAL INTEGRATION FRAMEWORKS

UNDERSTANDING VERTICAL INTEGRATION

- Involves owning upstream suppliers or downstream distributors
- Chosen when contracts are inefficient or risky
- Creates value through quality assurance and IP protection
- Improves cycle times and secures supply under scarcity
- Captures additional margins along the value chain
- Requires weighing costs against non-ownership alternatives

WHEN INTEGRATION ADDS VALUE

- Asset specificity exposes firms to hold-up risks under contracts
- Frequent uncertain transactions raise contracting costs
- High safety or quality requirements are hard to outsource
- Intellectual property and data sensitivity make partnerships risky
- Systems needing synchronized investments benefit from ownership
- Integration succeeds when ROIC rises above the cost of capital

WHEN INTEGRATION DESTROYS VALUE

- Technological change can strand large integrated assets
- Fixed scale creates inflexibility in downturns
- Managers are distracted from core competitive battles
- Regulation may strip away expected benefits of ownership
- Poor transfer pricing hides economics and encourages waste
- Alliances often deliver similar results at lower risk

BACKWARD VS. FORWARD INTEGRATION

- Backward integration secures inputs and reduces supply risk
- Improves input quality and lowers exposure to suppliers
- Forward integration controls the customer interface
- Enables firms to capture data and shape customer experience
- Mixed models combine ownership of bottlenecks with partnerships
- Direction chosen depends on capital, market, and regulation

DESIGNING INTEGRATION FOR FLEXIBILITY

- Standardized interfaces reduce lock-in and ease partnerships
- Outsourcing provides variable capacity buffers when needed
- Transparent transfer pricing maintains accountability
- Investment in data systems preserves boundary learning
- Clear decision rights speed coordination across units
- Pre-planned exit paths ensure assets remain modular

LESSONS FROM INTEGRATION

- Integration must be situational, not automatic
- Ownership adds value only where markets fail
- Capital intensity must be balanced with flexibility
- Regulatory risks must be factored into boundary decisions
- Design integration to allow reversibility where possible
- Focus ownership on bottlenecks critical to competitiveness

PORTFOLIO MANAGEMENT MODELS

PORTFOLIO MANAGEMENT OVERVIEW

- Corporations manage multiple business units with varying growth and profitability.
- Portfolio tools guide resource allocation across diverse units.
- Key models: Boston Consulting Group (BCG) Matrix and GE–McKinsey Matrix.
- Focus on balancing growth opportunities and cash generation.
- Aim: maximize shareholder value through optimal portfolio mix.
- Helps managers decide where to invest, divest, or grow.

BCG MATRIX

- Developed by Boston Consulting Group in the 1970s.
- Positions business units on two dimensions: market growth rate and relative market share.
- Produces four categories: Stars, Cash Cows, Question Marks, and Dogs.
- Aimed at simplifying strategic investment decisions.
- Highlights trade-offs between growth potential and cash flow.
- Widely used but has practical limitations.

BCG CATEGORIES: STARS

- High growth, high market share units.
- Require heavy investment to sustain leadership.
- Strong revenue generators but cash demands are high.
- Potential to become future Cash Cows if growth stabilizes.
- Represent the engines of corporate expansion.
- Risk: overinvestment if market growth slows prematurely.

BCG CATEGORIES: CASH COWS

- Low growth, high market share businesses.
- Generate strong cash flows with limited investment needs.
- Provide financial resources to support Stars and Question Marks.
- Often represent mature, stable products or markets.
- Must be defended from competitive threats.
- Over-reliance risks decline if market erosion accelerates.

BCG CATEGORIES: QUESTION MARKS

- High growth, low market share units.
- Require significant investment to improve position.
- Strategic dilemma: invest heavily or divest quickly.
- Can evolve into Stars if successful, or Dogs if not.
- Management judgment is critical in resource allocation.
- Many diversification ventures fall in this quadrant.

BCG CATEGORIES: DOGS

- Low growth, low market share businesses.
- Weak prospects with limited competitive strength.
- Typically cash neutral or negative performers.
- Often candidates for divestiture or shutdown.
- Risk of management distraction if retained.
- Sometimes maintained for strategic or social reasons.

BCG STRATEGIC IMPLICATIONS

- Balance portfolio with Stars and Cash Cows.
- Use Cash Cows to fund growth in Stars and select Question Marks.
- Divest Dogs to release resources and sharpen focus.
- Portfolio health depends on mix across quadrants.
- Prevent overdependence on any single category.
- Encourages disciplined resource reallocation.

GE MATRIX

- Developed by McKinsey for General Electric in the 1970s.
- Considers industry attractiveness and business unit strength.
- Provides 9-cell grid for nuanced resource allocation.
- Broader than BCG by using multiple evaluation criteria.
- Emphasizes both external opportunities and internal capabilities.
- Better suited for diversified conglomerates.

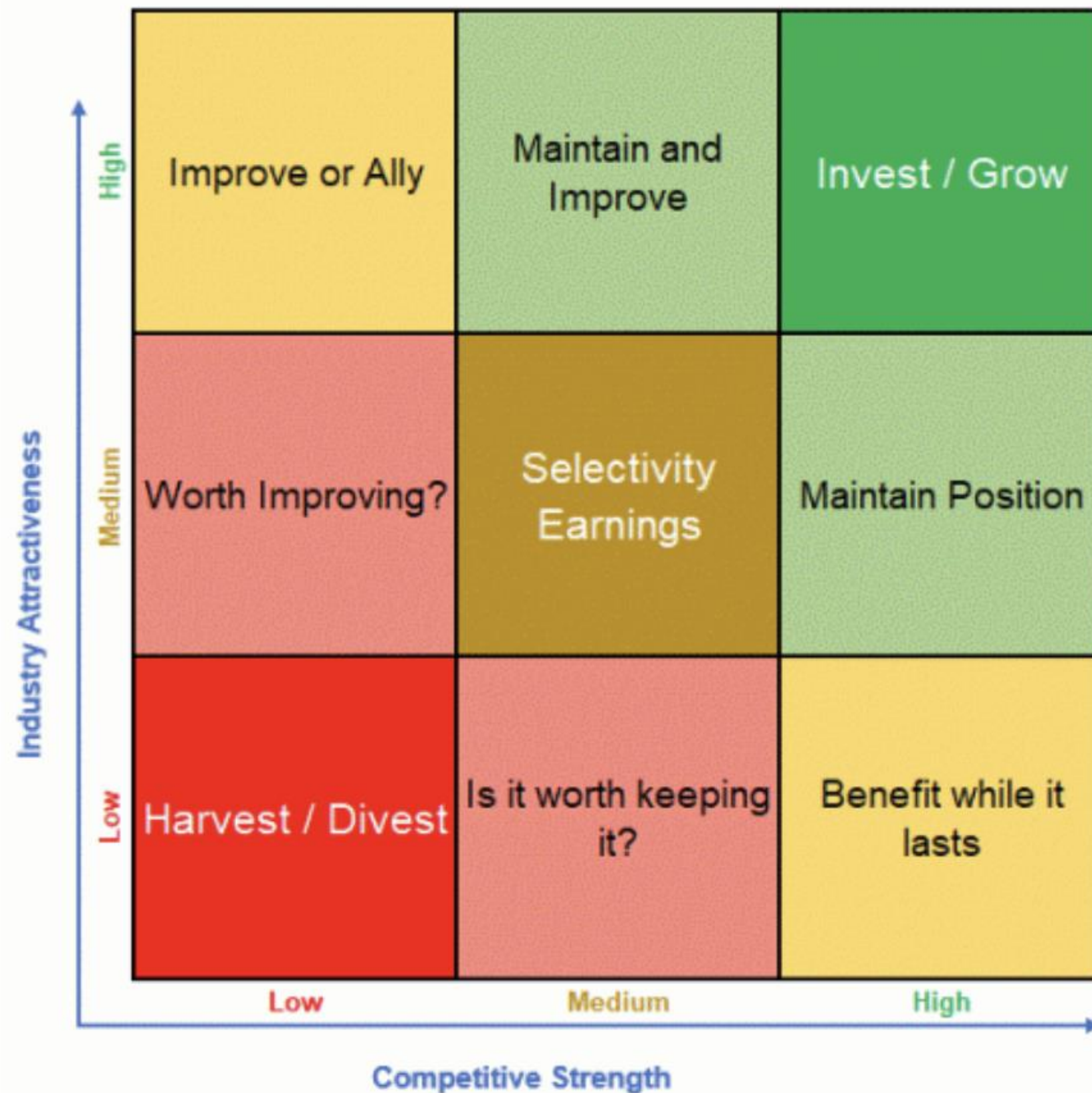
GE MATRIX: STRATEGIC ZONES

- Grow/Invest: high attractiveness and strong competitive position.
- Selectivity: medium attractiveness and/or moderate position.
- Harvest/Divest: low attractiveness and weak position.
- Encourages selective resource allocation.
- Aligns investment with competitive advantage.
- Provides more flexibility than BCG.

GE MATRIX: STRATEGIC ZONES



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SYNERGY CREATION AND VALUE DESTRUCTION

SYNERGY

- Synergy means combined value exceeds sum of parts.
- Achieved through cost savings, revenue growth, or capability sharing.
- Often drives diversification and integration strategies.
- Can be operational, financial, or managerial.
- Pursuit of synergy underpins most corporate-level strategies.
- Unrealized synergy is a major cause of failure.

TYPES OF SYNERGY

- Cost synergy: shared resources reduce operating expenses.
- Revenue synergy: cross-selling boosts total sales.
- Financial synergy: lower borrowing costs or tax benefits.
- Managerial synergy: stronger leadership across units.
- Market synergy: enhanced brand recognition and positioning.
- Technology synergy: innovation spread across units.

SYNERGY REALIZATION CHALLENGES

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VALUE DESTRUCTION FACTORS

- Excessive diversification beyond management capacity.
- Overpayment for acquisitions due to bidding wars.
- Failure to integrate operations effectively.
- Strategic drift from core competencies.
- Misaligned incentives between corporate and unit managers.
- Disruption of successful standalone businesses.

CASE OF FAILED SYNERGIES

- America Online -Time Warner merger destroyed shareholder value.
- Cultural mismatch hindered integration.
- Promised revenue synergies failed to materialize.
- Strategic assumptions about convergence proved wrong.
- Overvaluation led to massive goodwill write-offs.
- Lessons highlight risks of chasing illusory synergies.

ENSURING SYNERGY SUCCESS

- Conduct thorough due diligence on synergy potential.
- Develop clear integration plans with milestones.
- Align leadership and cultural values.
- Monitor progress with performance metrics.
- Avoid overpromising expected benefits.
- Focus on a few high-impact synergies first.

BALANCING SYNERGY AND AUTONOMY

- Excessive centralization can stifle innovation.
- Autonomy preserves entrepreneurial spirit in business units.
- Synergy should not come at cost of flexibility.
- Balance depends on industry and business unit dynamics.
- Strategic fit is more important than sheer scale.
- Long-term sustainability requires measured integration.

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CORPORATE RESTRUCTURING STRATEGIES

RESTRUCTURING OVERVIEW

- Involves significant changes to corporate portfolio or structure.
- Aimed at improving competitiveness and shareholder value.
- Includes Mergers & Acquisitions, Divestitures, Spin-offs, and more.
- Used when existing strategies fail to deliver.
- Driven by changing market or financial conditions.
- Often triggered by performance crises.

MERGERS & ACQUISITIONS (M&A)

- M&A is the most common restructuring strategy aimed at synergy realization.
- Seeks cost efficiencies, revenue enhancement, and strategic positioning.
- Provides rapid access to new markets, products, or technologies.
- Failure risks include cultural clashes, weak integration, and excessive debt.
- Overpayment due to bidding wars or poor valuation destroys value.
- Many M&As underperform because projected synergies are not achieved.

DIVESTITURES

- Involve selling or liquidating underperforming business units.
- Aim to sharpen corporate focus and free resources.
- Can generate cash to reduce debt or reinvest in core activities.
- Helps exit declining or non-strategic markets.
- Positive signal to investors about discipline in capital use.
- Risk: undervaluation or loss of strategic assets.

SPIN-OFFS

- Parent company creates independent company from a business unit.
- Provides managerial focus and accountability.
- Unlocks hidden shareholder value.
- Spin-off firm gains operational independence.
- Parent may retain strategic or financial link.
- Risks include loss of economies of scale.

EQUITY CARVE-OUTS

- Partial Initial Public Offering of a subsidiary while parent retains control.
- Raises capital without full divestment.
- Creates transparent market valuation of the unit.
- Provides strategic flexibility for the parent.
- Enhances accountability through separate listing.
- Risk: market undervaluation or conflicts of interest.

CORPORATE BUYBACKS AND LBOS

- Firms repurchase shares to consolidate ownership.
- Signals confidence in firm's prospects.
- Leveraged Buyouts (LBOs) restructure ownership with debt financing.
- Often involve taking companies private for turnaround.
- Aim to enhance efficiency and value realization.
- Risks include excessive leverage and bankruptcy.

RESTRUCTURING SUCCESS FACTORS

- Strategic clarity in restructuring rationale.
- Robust financial and operational due diligence.
- Effective communication with stakeholders.
- Strong integration and execution capabilities.
- Alignment with long-term corporate vision.
- Willingness to exit failing strategies decisively.

CASE STUDY: MCDONALD'S MCCAFFÉ

OVERVIEW

- McDonald's launched McCafé in Melbourne, Australia in 1993.
- Strategy aimed to diversify beyond core burger and fries menu.
- Leveraged global brand to enter the fast-growing coffee market.
- Positioned against Starbucks, Costa, and other coffee chains.
- Integrated within existing McDonald's outlets for scale benefits.
- Represents related diversification within food & beverage.

STRATEGIC RATIONALE

- Capture share of booming global coffee culture.
- Attract new customer segments beyond fast-food core.
- Extend customer visits to breakfast and afternoon occasions.
- Increase same-store sales without major new infrastructure.
- Leverage brand strength and high customer traffic flows.
- Defend market share from specialty coffee competitors.

EXECUTION APPROACH

- Introduced café-style menu: espresso, cappuccino, lattes, pastries.
- Used existing restaurants to minimize capital costs.
- Branded McCafé as a distinct but linked offering.
- Invested in barista training and coffee machine technology.
- Rolled out globally with adaptation to local tastes.
- Supported by marketing campaigns highlighting quality coffee.

OUTCOMES AND PERFORMANCE

- McCafé became one of the largest coffee retailers worldwide.
- Significant contributor to McDonald's sales growth in 2000s.
- Increased customer frequency and loyalty.
- Enhanced brand image beyond traditional fast food.
- Success varied by region depending on local coffee culture.
- Showed potential of related diversification when executed well.

LESSONS LEARNED

- Related diversification leverages existing strengths effectively.
- Execution speed and scale drive competitive advantage.
- Brand credibility is critical in entering adjacent markets.
- Operational excellence ensures consistent customer experience.
- Not all markets deliver equal success; local adaptation is key.
- Diversification works best when aligned with core strategy.



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